There were no proposals and allocations in Budget 2020–21 for the troubled infrastructure sectors of the economy. Real estate, especially the residential segment, was suffering its worst slump—new projects were not being launched and older projects under construction for quite some years remained stalled in many cases. The real-estate sector is extremely important from the perspective of employment (surplus agricultural labour gets absorbed in construction work) and spin-off impact on several industries (cement, steel, etc.). The Budget did not have a single proposal to address the residential real-estate sector. No specific provision was made for even the Rs 10,000 crore to be provided to the Real Estate AIF, which was announced by the government a few months earlier to put stalled real-estate projects on track.

The roads sector had played a large supportive role in generating economic growth from 2015–2019, albeit using unsustainable financing models. This sector can be revived only after the issues pertaining to excessive cost of construction are addressed. The private sector will only come in after that. The Budget had no such reform proposal. As noted above, public-sector investment through NHAI and other government outfits for 2020–21 was at a slightly lower level, even in nominal terms. As a good part of the borrowing is now required to service debt already accumulated by NHAI, it appeared that actual government expenditure on roads in 2020–21 were about 25 per cent less than in 2019–20.

There was no proposal in Budget 2020–21 for other struggling infrastructure sectors like telecommunications and power either. For power, there was only an announcement regarding smart metering being pushed. The fundamental problem of the power sector is the gap between the cost of power to the state distribution companies and the revenues they collect. This gap is too large: over Rs 2 lakh crore a year. It has crippled state government finances as they provide over Rs 1 lakh crore of subsidies every year and is responsible for the DISCOMs not paying power